

Since **Vertex Logistics** is a corporate entity rather than a bank, it would appear in a bank's **FR Y-14Q** filing primarily within **Schedule H (Wholesale Risk)**. This schedule tracks a bank’s exposure to large corporate borrowers to simulate how they might default during a market crash. Here is a sample of how a \$1.2B credit facility for **Vertex Logistics** would be reported by a Bank Holding Company (BHC).

FR Y-14Q | Schedule H.1 (Wholesale - Corporate Loan)

Reporting Institution: Global Finance Corp
Obligor Name: Vertex Logistics Solutions LLC
Industry Code (NAICS): 484121 (General Freight Trucking, Long-Distance)

Part 1: Loan Facility General Information

Field Name	Field Data (Dummy)	Consultant’s Note
Line Item 3: Credit Facility ID	VX-LOG-2024-009	Unique internal identifier for the loan.
Line Item 5: Committed Exposure	\$1,200.00 Million	Total amount the bank is obligated to lend.
Line Item 6: Utilized Exposure	\$840.00 Million	Current outstanding balance (Drawn).
Line Item 18: Interest Rate Type	Floating (SOFR + 225 bps)	Floating rates are high risk in "Severe Adverse" scenarios.
Line Item 21: Maturity Date	2029-06-15	Long-dated debt requires more capital reserves.

Part 2: Obligor Financial Data (Vertex Logistics)

This data is used by the Fed to calculate the Probability of Default (PD).

Field Name	Data Value	Financial Context
Line Item 52: Total Assets	\$3,450.00 M	Asset-heavy (Fleet, Warehouses, Robotics).
Line Item 54: Total Liabilities	\$2,100.00 M	Debt-to-Equity ratio of ~1.55x.
Line Item 58: Net Income	\$185.00 M	Profitability metrics for debt servicing.
Line Item 60: EBITDA	\$420.00 M	Primary metric for "Cash Flow Leverage" testing.
Line Item 62: Tangible Net Worth	\$1,150.00 M	Liquidation value during a simulated recession.

Consultant’s Risk Assessment for Vertex Logistics

Internal Risk Rating: 4 (Pass/Watch)

Under the Federal Reserve’s "Severe Adverse" Scenario (which simulates a 10% unemployment rate and a 30% drop in the stock market), Vertex Logistics faces specific vulnerabilities:

- Debt Service Coverage (DSCR):** With a current EBITDA of \$420M and interest rates linked to SOFR, a 200bps spike in rates would increase Vertex's interest expense by ~\$16.8M annually. In a stressed scenario where logistics demand drops 15%, their DSCR could fall below the **1.2x covenant threshold**.
- Collateral Haircut:** Most of the loan is secured by "General Freight Equipment." In a stressed market, the resale value of a logistics fleet can drop by 40% (Loss Given Default or LGD).

3. **NAICS Sector Risk:** The trucking and logistics sector is highly sensitive to fuel price shocks and consumer spending declines. If Vertex is a primary borrower, the bank may be required to increase its **CET1 Capital Buffer** to cover this specific exposure.

Regulatory Reconciliation

This data must align with the **FR Y-9C (Schedule HC-C)**. If the bank reports \$840M in utilized exposure here but shows a different total for "Wholesale C&I Loans" in the Y-9C, it will trigger an automated **MRA (Matter Requiring Attention)** from the regulators.